

Astral Ltd (ASTRA IN · NSE: ASTRAL) — Management Interview: 10 Key Questions

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How to use this

Questions are ordered by **how much the answer moves the conclusion**, not by logical sequence — management calls get compressed, so the most valuable question goes first. Every question is built to be **answerable with a number**, so that "steady progress" and "strong traction" are not available as answers. **A refusal is itself information**, and each question carries a note on how to read a non-answer.

Three practical notes:

1. **Get the number first, then the explanation.** Once they have given you the reasoning, the number becomes much harder to extract.
2. **When they give a range, ask for the bottom of it.** The top of a range is marketing; the bottom is the forecast.
3. **Write down every metric they cannot answer.** A plastic pipes company that does not track quarterly inventory gain/loss, or channel inventory in weeks, is a company that is not internally managing the two variables that actually determine its reported margin — and that tells you more than the answer would have.

This interview has one through-line: which half of the company am I buying, and is the margin real or is it resin? Volume news flow, capacity plans and the dealer count are things the company is happy to discuss and the market has already discussed to death. The demerger's economics and the composition of the plumbing margin are where the disagreement actually sits.

1. The scheme document: what exactly is being demerged?

The composite scheme approved on 25 June 2026 states that the Chemicals Business Undertaking had turnover of **₹1,266.3cr in FY26, 21% of standalone turnover**. The consolidated Paints & Adhesives segment was **₹1,890cr**. **What accounts for the ~₹620cr difference — and specifically, do the UK adhesives businesses (Seal IT, Silicone Engineering) transfer to Astral Chemie or remain with Astral? What are the audited revenue, EBITDA, PAT, net assets and capital employed of the demerged undertaking for FY25 and FY26?**

Why this ranks first: within roughly twelve months the market must assign two multiples where it currently assigns one. That exercise is impossible until someone states what is in each box. The UK business alone (Q1 FY27 revenue

₹121cr, annualising near ₹480cr, EBITDA margin just turned positive at 4.9%) changes Astral Chemie's revenue base by roughly 40%.

Follow up: where do bathware and water tanks sit — they are currently reported inside Plumbing, but they are consumer-brand businesses closer in character to paints. What is the Appointed Date, and which entity books the DSS and Nexelon stakes?

How to read a non-answer: "it will all be in the scheme document" is procedurally correct and should be accepted once — but then ask **when** the document will be filed. A board that approved a scheme in June and cannot describe its perimeter in September has either not finished designing it, or is choosing not to say.

2. Segment profitability: margin and PAT, plumbing versus chemicals

The company discloses **segment revenue and segment EBITDA** but has never disclosed **segment PAT** or the allocation of depreciation, interest and corporate overhead. **For FY25, FY26 and Q1 FY27, what were plumbing and chemicals EBITDA margins, depreciation and net profit separately?**

Why this ranks second: group EBITDA margin has held near 16% while **net** margin fell from 12.9% (FY21) to 8.1% (FY26). The decline is therefore below EBITDA — depreciation and new-venture losses — and without the segment split it is impossible to tell whether the plumbing business is still earning a 20%+ return while chemicals destroys it, or whether both have deteriorated. **These have opposite implications for what the demerger is worth.**

Follow up: what was the **corporate overhead** allocated to each segment, and how much of it stays with Astral after the demerger rather than moving to Astral Chemie? A stranded cost base is one of the standard ways a demerger destroys rather than releases value.

How to read a non-answer: non-disclosure of segment PAT is normal practice and is not evasive in itself. But a directional answer — "plumbing is roughly Xpp above group, chemicals roughly Ypp below" — is cheap to give.

Refusal to give even the direction should be priced as the unfavourable case.

3. The plumbing margin: how much of it is resin timing?

Plumbing segment EBITDA margin went from **16.4% to 18.9%** in Q1 FY27 and from **20.4% to 22.8%** in Q4 FY26. Over the same period PVC resin rose roughly **64% year-on-year into March 2026** and then fell, and management stated there was **no inventory loss in Q1 FY27. What was the inventory gain or loss, in ₹cr, in each of the last six quarters?**

Why this ranks third: this single series separates franchise from cycle. In Indian plastic pipes, reported margin is largely a derivative of which way resin moved last quarter. If the gains are large, the margin expansion carrying the entire earnings recovery is a resin artefact and will reverse. If they are small, the margin is real and the stock's case improves materially.

Follow up: decompose the FY26 and Q1 FY27 plumbing margin move into **volume leverage / realisation / mix**, in percentage points. And: if the pending anti-dumping duty on PVC suspension resin (\$22–284/tonne) is imposed, what inventory gain should we expect in the quarter it lands, and what is the steady-state effect once it is in the cost base?

How to read a non-answer: Indian pipe companies routinely quantify this on calls, so it is a disclosed metric across the peer group. **Declining to give it while peers give it is a substantive answer.**

4. Your own FY27 guidance is below the margin you just printed

Q1 FY27 consolidated EBITDA margin was **15.5%** and plumbing was **18.9%**. FY27 guidance is **16–18% consolidated**. **Is the 18.9% plumbing margin sustainable at flat PVC prices, or does your own guidance imply it is not? What plumbing EBITDA margin do you underwrite through a full cycle?**

Why this ranks fourth: it is the cleanest internal contradiction available, and management has to resolve it on the record. Either the guidance is conservative — in which case ask them to say so and raise it — or the Q1 margin was assisted, in which case consensus is extrapolating an assisted number.

Follow up: what plumbing margin does the model assume once the captive CPVC resin plant is at full utilisation, and what does it assume before that?

How to read a non-answer: "we guide conservatively" is acceptable if they then name the through-cycle number. If they will not name it, the guidance band is the through-cycle number and the Q1 print should be treated as a peak.

5. Volume: what is the real run rate, and what is in the channel?

Plumbing volume grew **+16% in FY26** and **+24.2% in Q4 FY26 to 84,041 MT**, was **flat at 56,146 MT in Q1 FY27**, and **+40% in July 2026**. **What were August and September 2026 volumes? What is channel inventory in weeks today versus a year ago? And what is the split between primary sales (to distributor) and secondary sales (to dealer/site) for the last four quarters?**

Why this ranks fifth: four consecutive quarters of headline volume growth have told you almost nothing about consumption, because they were dominated by distributors destocking and restocking against PVC price moves.

Secondary sales and channel weeks are the only clean read on demand, and FY27's 10–15% volume guidance is already 0% through one quarter.

Follow up: split volume growth between **CPVC** (25–30% share, premium pricing) and **PVC** (~5% share, commodity). Growth mixing toward PVC is growth at a worse margin, and it is the mix the market is not watching.

How to read a non-answer: if they can give July's +40% but not August and September, **that is the answer**. Selective month disclosure means the selected month was the good one.

6. Astral Chemie's opening balance sheet — and will it need to raise equity?

Astral Chemie is being launched with roughly **₹1,266–1,890cr of revenue at an ~8% EBITDA margin** — call it **~₹150cr of EBITDA** — against a stated ambition of **₹2,300–2,400cr of revenue at 14–15% margins by FY28** and **₹4,500–5,000cr in four to five years**. **What cash and debt transfer to it on the Appointed Date, what is its FY28 capex plan, and is an equity raise contemplated within 24 months of listing?**

Why this ranks sixth: growth of that order is not fundable from ₹150cr of EBITDA. Either Astral Chemie leaves with a large cash endowment — which reduces what the residual pipes company is worth — or it raises equity, which dilutes the 1:1 entitlement shareholders are being handed. **Both are real costs, and neither is currently disclosed.**

Follow up: the paints business reached EBITDA breakeven at a **0.1% margin** in Q1 FY27 after launching in 2024. What revenue and utilisation does the FY28 "high single to low double digit" margin target assume, against 36,000 TPA of installed capacity?

How to read a non-answer: "the scheme will address it" — then ask whether a raise has been discussed by the board. A flat "no raise is contemplated" is valuable and falsifiable.

7. Return on the ₹1,400cr of capex, project by project

Over four years the company spent roughly **₹1,400cr of capex**. Between FY22 and FY26 revenue rose **49.5%** and net profit rose **9.1%**; net margin fell from 11.2% to 8.1% and RoE from roughly 22% to about 14.5%. **Project by project — paints, bathware, water tanks, the UK, Nexelon — what is the post-tax return, and which have cleared cost of capital?**

Why this ranks seventh: this is the capital-allocation scoreboard, and it is the question the demerger implicitly answers in the negative. Note the balance sheet was never risked — net cash ₹943cr, 118% cash conversion, working

capital down to 11 days — so this is a **returns** question, not a solvency one, which is why it must be asked in returns terms.

Follow up: what are **cumulative losses in paints since launch**, in ₹cr? And what is FY27 capex really, given ₹300–350cr was guided and ₹137cr was spent in Q1 alone?

How to read a non-answer: if project-level returns are not tracked internally, say so — a company that cannot rank its own projects by return has been allocating capital on conviction rather than arithmetic, which is the most important thing you can learn on the call.

8. The captive CPVC plant: timing, benefit, and how long the advantage lasts

The 40,000 MT Nexelon CPVC resin plant (₹120cr of a ₹150cr project, 80% owned) has moved from "commissioning Q2 FY27" to **mechanical completion December 2026, trials in Q4 FY27, commercial production January–March 2027. In which fiscal year does the claimed +200bps of piping margin appear in reported numbers — and given that DCW, Lubrizol and Epigral have launched or proposed Indian CPVC resin capacity totalling over ₹2,400cr, how many years does the captive cost advantage last, in ₹/kg?**

Why this ranks eighth: it is the one genuinely differentiated structural item in the story — no pipe maker anywhere else has done this — and it is also the item with the shortest shelf life. Once domestic CPVC resin is abundant, "we make our own" becomes "so does everyone, and buying is cheaper than the capital charge."

Follow up: what share of internal CPVC requirement does 40,000 MT actually cover at FY28 volumes — the stated 50–60% is against today's volumes, not tomorrow's. Is a phase 2 planned?

How to read a non-answer: a firm ₹/kg advantage and a firm year is the good answer. "Strategic security of supply" without a number means the economics are thinner than the narrative.

9. The 2025 ESOP: what are the performance conditions?

An ESOP 2025 scheme was adopted. **What are the grant volume, exercise price, vesting schedule and — specifically — the performance conditions? If they include revenue, profit or margin targets, what are the target values and the assessment years?**

Why this ranks ninth: if performance conditions exist, they are **management's own committed forecast, set with full knowledge of the cycle** — and therefore worth more than any sell-side estimate. The sell-side currently asks you to

underwrite FY28 profit of ₹836–950cr, 1.6–1.8x FY26. **An incentive plan scored against a materially lower number would be management telling you what they actually believe.**

Follow up: were the FY26 targets met? If the plan predates FY26, the scored outcome is the single best available read on how much this management over-forecasts itself.

How to read a non-answer: the terms are in a filed document, so this is a retrieval question rather than a disclosure one. If the conditions are time-based only with no performance hurdle, that is also informative — it means there is no internal number to compare consensus against.

10. Why now, and is there a seventh acquisition coming?

Six transactions in roughly two years — Al-Aziz Plastics, Nexelon Chem (80%), DSS LLP (60%), plus stake-ups to 100% in Seal IT and Astral Coatings — followed by a demerger justified by "sharper business focus."

Why demerge now rather than three years ago or three years hence, and what is the acquisition pipeline for the residual Astral after the split?

Why this ranks last — and why it should still be asked: it is the only open-ended question on the list, and it is the one whose answer you judge by tone rather than by number. Two readings fit the record equally well: management is intelligently narrowing after a period of expansion, or management has concluded the diversification did not work and is handing it to shareholders. **The answers to questions 1, 6 and 7 discriminate between them** — but asking this directly, late in the call, is how you find out which story they tell about themselves.

Follow up: what is the **post-demerger dividend and buyback policy** for the residual Astral? Payout is currently ~20% on a 0.26% yield. If plumbing was the funding source for paints capex and advertising, and that claim is now gone, the payout decision is the clearest possible statement of what management thinks the remaining business is.

How to read a non-answer: an immediate pivot to "we will continue to evaluate inorganic opportunities" means the focus rationale was presentational, and the seventh deal is already being worked on.